

The benchmark implied by the Fama–French regression estimates is:

$$\begin{aligned} (1 - 0.67) &= \$0.33 \text{ in T-bills} \\ &+ \$0.67 \text{ in the market portfolio} \\ &- \$0.50 \text{ in small caps} + \$0.50 \text{ in large caps} \\ &+ \$0.38 \text{ in value stocks} - \$0.38 \text{ in growth stocks} \end{aligned}$$

In addition to this benchmark, Buffet is generating
+ 0.65% (alpha) per month.

Again, the factor loadings can be translated directly to a benchmark portfolio, only now the portfolio contains (complicated) long–short positions in small/large and value/growth stocks. But it still represents \$1 of capital allocated between factor portfolios. Every time we run a factor regression, we are assuming that we can create a factor benchmark portfolio.

Adding Momentum

The momentum effect—that stocks with high returns in the past continue their upward trend and stocks with lousy past returns continue to deliver lousy returns—can be added to the factor benchmark. Momentum is observed in many asset classes and is a systematic factor (see chapter 7). Buffett famously eschews momentum investing, basing his investment decisions on a company’s fundamentals instead of past growth and price movements. Three of his famous quotes are:

The investor of today does not profit from yesterday’s growth.
Focus on the underlying conditions that cause price, rather than price itself.
It’s far better to buy a wonderful company at a fair price than a fair company at a wonderful price.

We add a momentum factor, *UMD*, constructed by taking positions in stocks that have gone up minus stocks that have gone down, to the Fama–French benchmark:⁹

$$r_{it} - r_{ft} = \alpha + \beta(r_{mt} - r_{ft}) + sSMB_t + hHML_t + uUMD_t + \varepsilon_{it}, \tag{10.11}$$

where the new *UMD* factor has a loading (or beta) of *u*. Estimating this regression, we have

	Coefficient	T-stat
Alpha	0.68%	2.05
MKT Loading	0.66	8.26
SMB Loading	−0.50	−4.86
HML Loading	0.36	3.33
UMD Loading	−0.04	−0.66
Adj R ²	0.27	

⁹ First done by Carhart (1997).